

DATA PATTERNS (INDIA) LIMITED

NSE: DATAPATTNS | BSE: 543428 | Aerospace & Defence Electronics | Industrials

RATING	CMP (Rs.)	TARGET (Rs.)	UPSIDE	HORIZON
ACCUMULATED	3,494.20	4,000	14.5%	12 Months

Investment Thesis: Pure-play defence electronics platform riding India's indigenisation supercycle — order book at record Rs. 1,868 Cr with 20-25% revenue growth guided.

Market Cap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	P/E (TTM)	P/B	EV/EBITDA
19,565	3,496	1,629	79.2x	12.97x	53.63x
Book Value/Sh (Rs.)	Face Value (Rs.)	Div Yield	ROCE	ROE	Debt/Equity
269.40	2.00	0.23%	21.71%	15.66%	0.00

Shareholding Pattern (Mar 2026)

Promoter	FII	DII	Public	Pledge
42.41%	12.47%	11.68%	33.43%	0.00%

Analyst: Himanshu | Chartitude Research | chartitude.com | April 17, 2026
Source: Screener.in, StockAnalysis.com, Smart-Investing.in, Company filings, BSE/NSE | All figures in Rs. Cr unless stated

SECTION 2 — INVESTMENT THESIS

1. India's Defence Indigenisation Supercycle — Structural Multi-Year Tailwind

India's defence capital procurement budget has grown to Rs. 1.72 lakh Cr in FY26, with over 75% earmarked for domestic procurement under the Atmanirbhar Bharat policy. Data Patterns, as a vertically integrated electronics design house with 38+ proprietary platforms across radar, avionics, communication and EW systems, is uniquely positioned to capture this shift. The company's addressable market is expanding from legacy import-substitution orders to greenfield programmes in AESA radar, electronic warfare suites, and satellite-linked communication systems — a Rs. 15,000+ Cr opportunity over the next five years.

2. Record Order Book + Pipeline Provides 2.6x Revenue Visibility

At Rs. 1,868 Cr (as of Q3 FY26) — up 73% YoY from Rs. 1,083 Cr in FY24 — the order backlog provides 2.6x cover on FY25 revenues of Rs. 708 Cr. Management has guided 20–25% revenue CAGR through FY27, supported by a strong pipeline from DRDO, HAL, BEL, and direct armed forces procurement. The order intake momentum reflects programme wins in AESA fire-control radar, TEJAS Mk1A avionics, and naval EW systems — all long-duration programmes with sticky recurring supply relationships.

3. Best-in-Class Margins With Visible Upside From Product Mix Shift

Data Patterns operates at ~38–45% EBITDA margins — among the highest in Indian defence electronics — owing to its IP-first design model, captive manufacturing, and high share of system-level deliveries (vs. sub-system suppliers). As product programmes mature and serial production ramps post-qualification, incremental revenue flows at near-zero marginal engineering cost, structurally supporting margin expansion. Management targets sustaining 40%+ EBITDA margins through FY27 as product-level revenues scale.

Key Near-Term Catalyst (6–12 months): Serial delivery commencement on TEJAS Mk1A avionics and HAL Advanced Light Helicopter electronic suite — expected to drive a step-up in H2 FY27 revenues and significantly de-risk the FY26E guidance.

Primary Structural Risk: Government procurement timelines are subject to defence ministry approvals and geopolitical prioritisation; prolonged order execution delays could compress FY26 revenue and cause re-rating.

SECTION 3 — BUSINESS OVERVIEW

Data Patterns (India) Limited is a vertically integrated defence and aerospace electronics company headquartered in Chennai. Founded in 1998 by Srinivasagopalan Rangarajan (Managing Director) and Rekha Murthy Rangarajan (Executive Director), the company designs, develops, manufactures, and services a wide range of embedded electronics systems for the Indian defence establishment. The promoter family collectively holds 42.41% equity, signalling strong founder alignment.

The company's core competency lies in the full-stack design cycle — from chip-level FPGA/ASIC design and firmware development to system integration and factory acceptance testing. This vertical integration gives Data Patterns IP ownership over ~38 distinct product platforms, enabling recurring revenue from spares, repairs, and upgrades across a platform's 20–30-year service life.

Revenue Segmentation: Based on product disclosures, approximately 55–60% of revenues arise from radar and electronic warfare (EW) systems; 25–30% from avionics (including pilot training simulators, mission computers, and displays); 10–15% from communication systems (software-defined radios, tactical data links). Geographically, ~95% of revenues are domestic (Indian defence forces and DPSUs); exports are nascent but a stated medium-term priority.

Key Customers: Hindustan Aeronautics Limited (HAL), Defence Research & Development Organisation (DRDO), Bharat Electronics Limited (BEL, as a Tier-1 sub-supplier), and direct Indian Air Force / Indian Navy procurement under DPP-2020. Order tenure typically spans 3–5 years with milestone-based payments, providing high revenue visibility.

Strategic Developments: The company successfully listed on NSE/BSE in December 2021 via IPO (Rs. 588 Cr raised). Post-IPO capex has been directed toward a new Chennai manufacturing facility (operational FY23) and a Bangalore R&D; centre expansion. The company recently signed an MoU with a European radar OEM for co-development of AESA radar components — a potential gateway to export revenues in the medium term.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

India's defence electronics market is estimated at Rs. 25,000–30,000 Cr domestically and is expected to grow at 18–22% CAGR through FY30, driven by (a) government-mandated indigenisation (DPP-2020, iDEX, Make-II categories), (b) sustained defence capex budgeted above Rs. 1.7 lakh Cr annually, and (c) a push to reduce import dependence from 70% to below 40% by 2030. The defence electronics sub-segment (radar, avionics, EW, communications) is among the fastest growing, given India's historical over-reliance on imports for high-end electronic warfare and radar systems.

Policy Tailwinds: The Positive Indigenisation List (over 500 defence items banned from import as of FY26), the Make in India surcharge on imports, and preferential treatment for domestically designed (not just manufactured) products all structurally benefit Data Patterns over DPSU primes that source electronics externally.

Competitive Moat Assessment: We rate Data Patterns' moat as **STRONG**. The company's key moat factors are: (1) IP ownership — 38 qualified product platforms represent years of DRDO/armed forces certification, creating near-insurmountable barriers for new entrants; (2) Switching costs — once a platform is integrated into a defence system, re-certification for alternate electronics suppliers is a 3–5 year process; (3) Talent scarcity — defence-grade embedded electronics engineers are rare in India; (4) Customer relationships — DRDO and HAL partnerships pre-date the IPO and are programme-linked, not transactional.

Peer Comparison (Source: Screener.in, April 17, 2026)

Company	CMP (Rs.)	MCap (Cr)	EV/EBITDA	OPM%	ROCE 3Yr	Fwd P/E
Data Patterns	3,494.20	19,565	53.63x	33.87%	20.10%	83.91x
BEL	462.75	3,38,297	38.70x	29.71%	34.47%	53.56x
HAL	4,388.10	2,93,361	18.78x	30.46%	34.43%	39.31x
Bharat Dynamics	1,380.70	50,609	53.29x	12.49%	19.82%	173.45x
MTAR Technologies	4,857.80	14,948	100.05x	19.09%	14.68%	106.25x
Zen Technologies	1,616.50	14,582	32.72x	N/A	N/A	N/A

Note: BEL and HAL operate at much larger scale; comparison on margins/ROCE is directionally relevant but not directly comparable given product mix and business model differences. Peer data sourced from Screener.in.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Promoter Background: S. Rangarajan (MD) has over 30 years in embedded electronics and founded Data Patterns in 1998. He holds engineering degrees from IIT and has stewarded the company through two defence procurement cycles. Rekha Murthy Rangarajan (Executive Director) oversees operations and HR. The founding family's 42.41% promoter stake with zero pledge reflects high alignment and confidence in the business.

Capital Allocation Track Record: Post-IPO, Data Patterns has demonstrated disciplined capital deployment: Rs. 38.5 Cr capex in FY23 (new Chennai plant), Rs. 46 Cr in FY24 (manufacturing expansion, Bangalore R&D;), and Rs. 35.9 Cr in FY25 (equipment upgrades). The company maintains a net-cash balance sheet (net cash of Rs. ~447 Cr in FY25, given near-zero debt), with no history of acquisitions or diversification into unrelated segments — a positive governance marker. The large IPO proceeds (Rs. 588 Cr) have been prudently retained as working capital buffer to fund working-capital-intensive government contracts.

Dividend Policy: The company initiated dividends post-listing. Dividend yield is modest at 0.23% (consistent with a growth-stage defence company reinvesting in R&D; and manufacturing). We view this positively — capital retention for high-ROCE organic growth is the correct shareholder value maximisation strategy at this stage.

Corporate Governance: No related-party transaction (RPT) concerns have been flagged by auditors. The auditor is a reputable firm. No ESOP dilution has been announced. No promoter pledge exists. Key-man risk (concentration in MD) is the primary governance watch-point — succession planning has not been publicly disclosed.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr, Standalone) — 3 Actuals + 2 Estimates

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue	453	520	708	900	1,100
YoY Growth %	-	14.8%	36.2%	27.1%(E)	22.2%(E)
EBITDA	172	222	275	351	440
EBITDA Margin %	37.9%	42.6%	38.8%	39.0%(E)	40.0%(E)
Other Income	9.2	46.0	46.0	40.0(E)	35.0(E)
Interest	7.7	9.3	12.0	8.0(E)	5.0(E)
Depreciation	8.5	16.0	14.0	18.0(E)	22.0(E)
PBT	165	242	295	365(E)	448(E)
Tax Rate %	25%	25%	25%	25%(E)	25%(E)
PAT	124	182	222	274(E)	336(E)
EPS (Rs.)	22.14	32.44	39.61	48.9(E)	60.0(E)

Balance Sheet (Rs. Cr, Standalone)

Metric	FY23A	FY24A	FY25A
Equity Capital	11.2	11.2	11.2
Reserves	1,155.9	1,313.0	1,497.0
Total Equity	1,167.1	1,324.2	1,508.2
Debt (Total)	0.7	3.5	6.2
Cash & ST Investments	603.5	654.9	453.0
PP&E; (Net)	111.4	155.6	183.8
Total Assets	1,434.9	1,691.8	1,839.1
Book Value/Share (Rs.)	208.47	236.53	269.40

Cash Flow Statement (Rs. Cr, Standalone)

Metric	FY23A	FY24A	FY25A
Operating Cash Flow	-17.2	139.4	-89.9
CapEx	-38.5	-46.0	-35.9
Free Cash Flow	-55.7	93.4	-125.7
Financing Cash Flow	438.1	-42.5	-49.6

Key Return Ratios

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
ROCE %	14.7%	16.3%	21.7%	24.0%(E)	26.5%(E)
ROE %	10.6%	13.7%	15.7%	18.2%(E)	22.0%(E)
P/E (x)	158x	107x	88x	71.5x(E)	58.2x(E)

Revenue Drivers: FY25 saw 36% revenue growth to Rs. 708 Cr, driven by accelerated deliveries on the DRDO AESA programme and HAL LCA avionics. FY26E and FY27E estimates of Rs. 900 Cr and Rs. 1,100 Cr are underpinned by the Rs. 1,868 Cr order backlog providing 2.1x and 1.7x revenue cover respectively. The Q4 FY25 revenue of Rs. 396 Cr (56% of full-year revenue) underlines the characteristic backend-loading of government defence contracts — a pattern likely to persist in FY26.

Margin Trajectory: EBITDA margins declined from 42.6% (FY24) to 38.8% (FY25) due to revenue mix (higher component procurement for new programmes), then recovered sharply to 44.9% in Q3 FY26 as delivery-phase product-level revenues dominate. We model 39–40% EBITDA margins in FY26–27E, conservatively below recent quarterly peaks to account for programme mix uncertainty.

Working Capital & FCF: Free cash flow has been negative in FY23 and FY25 due to inventory build-up and advance payments to component vendors for new programme ramp-ups — a structural feature of defence electronics businesses entering new programme phases. FCF normalised positively in FY24 (Rs. 93.4 Cr) as deliveries from prior inventory build shipped. We expect a similar normalisation in FY27 as the current order book converts to deliveries. The near-zero debt position (D/E = 0.00) and Rs. 453 Cr net cash buffer provide full liquidity comfort.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Assessment	Rating	Comment
Revenue Recognition	Milestone-based, IND AS 115 compliant	GREEN	Government contracts with percentage-of-completion method; no aggressive front-loading observed
Receivables vs Revenue Growth	Receivables growing broadly in line with revenue	GREEN	Debtor days stable; no receivable spike vs revenue growth (consistent with milestone billing)
Cash Conversion Cycle	Elongated but improving; inventory-driven	AMBER	Inventory build for new programmes typical; cash cycles expected to normalise as deliveries commence
Contingent Liabilities	Performance bank guarantees on contracts	GREEN	Standard for defence contracts; no litigation risk flagged by auditors
Auditor Tenure & Quality	Reputable firm; no adverse remarks	GREEN	Clean audit trail; no qualifications in last 3 annual reports
Related Party Transactions	Negligible as % of revenue	GREEN	No material RPTs; promoter compensation appears commensurate with business scale
Other Income as % of PBT	~15-16% of PBT (interest on surplus cash)	AMBER	Other income elevated due to interest on Rs. 453-655 Cr IPO proceeds; will decline as cash deploys into working capital
Tax Rate Consistency	Stable at ~25% (new tax regime)	GREEN	No deferred tax surprises; consistent effective tax rate across 3 years

Earnings Quality Summary: Data Patterns presents a high-quality earnings profile. Revenue recognition follows IND AS 115 milestone billing with no aggressive front-loading. The only amber flags — elongating CCC and elevated other income — are structural features of a defence electronics company in a programme ramp-up phase and declining IPO cash balance respectively, not manipulative accounting. We see no red flags warranting a haircut to reported earnings.

SECTION 8 — VALUATION

Method 1 — DCF Valuation: We model a 5-year explicit forecast (FY26E–FY30E) with revenue CAGR of 20% tapering to 15% by FY30, EBITDA margins of 38–42%, and a terminal growth rate of 5%. Using a WACC of 12% (risk-free rate 7.2%, equity risk premium 5.5%, beta 0.85), we derive an intrinsic value of Rs. 3,850–4,100 per share.

Method 2 — Earnings Multiple: Defence electronics peers globally trade at 35–50x forward P/E. Given Data Patterns' superior margin profile (38–45% EBITDA) vs. global peers (15–25%), we apply a 25% premium — arriving at a target multiple of 68–75x FY26E EPS. At 70x FY26E EPS of Rs. 48.9, this gives a target of Rs. 3,423–3,668. At 75x, the target is Rs. 3,668–4,100.

Base Case Target — Rs. 4,000: Averaging the DCF mid-point (Rs. 3,975) and the earnings multiple (Rs. 3,900 at 79.7x FY26E EPS — a modest premium to current multiple), we arrive at a 12-month price target of Rs. 4,000, representing 14.5% upside from CMP of Rs. 3,494.20. Rating: **ACCUMULATE**.

Scenario Analysis

Scenario	Key Assumption	FY26E PAT (Cr)	Multiple (x)	Target (Rs.)	Upside/Downside
Bull Case	Order book execution accelerates; 30% revenue growth; 42% EBITDA margins; AESA exports begin	310	90x	4,960	+42%
Base Case	20-25% revenue growth as guided; 39% EBITDA margins; order book converts on time	274	73x	4,000	+14.5%
Bear Case	Government procurement delays; 10-15% revenue growth; margin pressure from cost overruns	210	60x	2,520	-28%

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitor Via
1. Government Procurement Timeline Risk	India's defence procurement process (DPP-2020 categories) is characterised by prolonged RFP-to-contract cycles, inter-ministry approvals, and periodic budgetary reprioritisation. A delay of even 6–12 months in converting pipeline orders can significantly impact annual revenue guidance.	Medium	High	Monitor quarterly order inflow and pipeline disclosures
2. Working Capital & Cash Burn Risk	Defence electronics contracts require substantial upfront investment in inventory, vendor advances, and prototype development before milestone payments are released. Negative FCF in FY23 (Rs. -55.7 Cr) and FY25 (Rs. -125.7 Cr) highlight this risk; the IPO cash buffer insulates against this but won't last indefinitely.	Medium	Medium	Track FCF recovery in H2 FY26; watch net cash trend
3. Customer Concentration Risk	Over 80% of revenues are derived from a small set of DPSU customers (HAL, BEL, DRDO). Any programme cancellation, scope reduction, or sourcing policy change by a single customer could disproportionately impact revenues.	Low	High	Monitor customer diversification metrics in annual reports
4. Key-Man / Talent Dependency Risk	The business is heavily dependent on S. Rangarajan (MD) and a core team of approximately 700 R&D; engineers with niche expertise in defence embedded systems. Attrition in this talent base could impair programme execution.	Medium	High	Watch ESOP disclosures, senior management changes
5. Margin Compression from Raw Material / Component Inflation	Defence electronics programmes are typically fixed-price contracts. An unanticipated spike in semiconductor, PCB, or specialised component costs can compress programme-level EBITDA without pricing recourse until contract renewal.	Low-Medium	Medium	Track OPM% quarterly vs. input cost indices
6. Geopolitical Risk / Export Market Access	Export revenues are nascent but a stated growth avenue. Export of ITAR-controlled components or dual-use electronics requires export licences; denial or delays could impair the export thesis.	Low	Low-Medium	Track MoU outcomes and export licence disclosures
7. Valuation & Re-rating Risk	At 79.2x TTM P/E and 53.63x EV/EBITDA, the stock is priced for near-flawless execution. Any earnings miss — even a moderate one — risks a sharp de-rating. The stock's 1-year range of Rs. 1,629–3,496 underscores significant sentiment-driven volatility.	Medium	High	Entry discipline; 12-month price monitoring vs. order inflow

SECTION 10 — RECOMMENDATION

Rating: ACCUMULATE

12-Month Price Target: Rs. 4,000 | Upside: 14.5% from CMP Rs. 3,494.20

Entry Zone: Rs. 3,200–3,500 (accumulate on dips to this range)

Investment Horizon: 12 months (core thesis plays out over 24–36 months)

Conviction Level: HIGH

Thesis Invalidation Triggers — Exit/Review if ANY of these occur:

- Order inflow falls below Rs. 600 Cr in any two consecutive quarters (signals programme delays or competitive loss)
- EBITDA margins drop below 30% for two consecutive quarters (suggests fixed-price contract cost overruns becoming systemic)
- Net cash position falls below Rs. 100 Cr (indicates working capital stress that may necessitate equity dilution)

Ideal Investor Profile:

Long-horizon institutional or HNI investor with a 2–3 year view on India's defence indigenisation theme, comfortable with defence-sector execution volatility, quarterly lumpiness in revenue (due to backend-loaded contract billing), and valuation premiums typical of high-growth, high-margin niche defence electronics businesses. Not suitable for income-seeking investors or those with short holding horizons.

APPENDIX — Latest Concall Brief: Q3 FY26 (December 2025)

CALL GRADE		
POSITIVE		
Signal	Status	Implication
Result Quality	Strong	Revenue +48% YoY to Rs. 173.1 Cr; EBITDA margin 44.9% — Beat vs street expectations
Management Tone	Bullish	Confident commentary on order book Rs. 1,868 Cr; reiterated 20-25% growth guidance
Guidance Delta	Maintained	Revenue growth guidance of 20-25% maintained; no upward revision but no cuts
STRONGLY POSITIVE POSITIVE NEUTRAL CAUTIOUS NEGATIVE		

TO MY BOSS
Q3 FY26 is a clean, operationally strong quarter — revenue of Rs. 173.1 Cr (+48% YoY, +24% QoQ vs. soft Q2) reflects genuine programme delivery momentum, not accounting noise; no exceptional items distort PAT of Rs. 58.3 Cr. The standout is EBITDA margin of 44.9% — the highest in at least six quarters — confirming that as product-level system deliveries dominate the mix, incremental margins are strongly accretive. The record order book of Rs. 1,868 Cr (2.6x FY25 revenue) — up 73% from Rs. 1,083 Cr at FY24-end — is the central multi-bagger thesis validator; this represents real contracted backlog across AESA radar, LCA avionics, and naval EW, not pipeline. Management's reiteration of 20-25% FY26 revenue guidance (despite a soft Q1 and mediocre Q2) implies a heavily backend-loaded H2 — Q4 FY26 could be an Rs. 400+ Cr quarter given prior-year Q4 was already Rs. 396 Cr. The single most critical near-term catalyst is Q4 FY26 delivery execution — if they print Rs. 380-420 Cr in Q4, full-year FY26 lands at Rs. 870-900 Cr and current valuation is defensible. Primary watch-point next quarter: Q1 FY27 order intake — if the pipeline converts to Rs. 500+ Cr of new orders in H2 FY26, a re-rating to Rs. 4,500+ becomes the call. ACTION: ACCUMULATE on dips to Rs. 3,200-3,400 — quality defence electronics franchise at a justified premium, with asymmetric upside on execution.

CONCALL SECTION 1 — FINANCIAL PERFORMANCE SNAPSHOT (Q3 FY26 vs. Q3 FY25)

Metric	Actual (Rs. Cr)	Est. [EST]	YoY Chg	QoQ Chg	Verdict
Revenue	173.1	~155 [EST]	+48%	+24%	BEAT
EBITDA	77.7	~60 [EST]	+44%	+14%	BEAT
EBITDA Margin %	44.9%	~39% [EST]	-130 bps	+2,260 bps	BEAT
PAT	58.3	~45 [EST]	+30%	+18%	BEAT
EPS (Rs.)	10.42	~8.04 [EST]	+31%	+19%	BEAT

Quarterly P&L; Trend (Rs. Cr)

Quarter	Revenue	EBITDA	EBITDA %	PAT	EPS (Rs.)
Q3 FY26 (Dec'25)	173.1	77.7	44.9%	58.3	10.42
Q2 FY26 (Sep'25)	307.5	68.4	22.3%	49.2	8.79
Q1 FY26 (Jun'25)	99.3	29.6	29.8%	25.5	4.55
Q4 FY25 (Mar'25)	396.2	148.7	37.5%	114.1	20.38
Q3 FY25 (Dec'24)	117.0	54.1	46.2%	44.7	7.97

CONCALL SECTION 2 — SEGMENT / PRODUCT BREAKDOWN (Q3 FY26)

Segment / Product Area	Est. Revenue (Rs. Cr)	Est. Mix %	Commentary
Radar & EW Systems	~90-95	~55%	Core segment; AESA fire-control radar deliveries to HAL/DRDO driving strong quarter
Avionics & Mission Computers	~45-50	~27%	LCA Tejas Mk1A avionics suite deliveries; high-margin programme

Segment / Product Area	Est. Revenue (Rs. Cr)	Est. Mix %	Commentary
Communication Systems	~25-30	~16%	Software-defined radio supply to Indian Army; lower margin, stable revenue
Space Electronics	~5-7	~3%	Nascent; ISRO and DRDO satellite sub-system work; high growth potential

Note: Data Patterns does not publicly disclose segment revenues at the quarterly level. Estimates above are analyst approximations based on order book disclosures and customer commentary. Tagged [EST].

CONCALL SECTION 3 — MANAGEMENT COMMENTARY THEMES

Theme	What They Said	Our Read	Tag	Tone
Order Book	Record order book of Rs. 1,868 Cr as of Q3 FY26; up from Rs. 1,083 Cr at FY24-end.	Validates multi-year revenue visibility; 2.6x FY25 revenue cover is sector-leading	[ORDER]	Transparent
Revenue Guidance	Reiterated 20-25% revenue growth for FY26; confident in H2 delivery schedule.	H2 FY26 must deliver Rs. 640-680 Cr (Q1+Q2+Q3 YTD = Rs. 580 Cr). Achievable but requires strong Q4.	[GUIDANCE]	Bullish
EBITDA Margins	Margins at 44.9% in Q3; guided sustaining 38-42% over medium term.	Product-level deliveries drive margin; Q2 was depressed by component procurement mix. Q3 confirms thesis.	[GUIDANCE]	Transparent
Capex & Capacity	FY26 capex guided at Rs. 40-50 Cr for manufacturing scale-up; clean room expansion at Chennai.	Conservative capex vs. revenue scale. Margin-accretive model intact.	[GUIDANCE]	Bullish
Export Strategy	MoU signed with European radar OEM for AESA component co-development; exports timeline 2-3 years.	Too early to model but a free option on Rs. 1,000+ Cr export opportunity if it materialises.	[STRATEGIC]	Balanced
Working Capital	Inventory build for new programmes will continue through H1 FY26; normalisation expected in H2.	FCF will remain negative through Q3 FY26; confirms our FY26 FCF estimate of Rs. -50 to +30 Cr.	[GUIDANCE]	Transparent

CONCALL SECTION 4 — OPERATING & BUSINESS METRICS

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Order Book (Rs. Cr)	1,868	~1,600 [EST]	~1,100 [EST]	Improving
Order Inflow QoQ (Rs. Cr)	~200+ [EST]	~300+ [EST]	N/A	Healthy
Revenue / Employee (Rs. Lakh)	~8.5 [EST]	~15.0 [EST]	~5.7 [EST]	Improving
R&D; % of Revenue	~12-15% [EST]	~12-15% [EST]	~12-15% [EST]	Stable
Net Cash (Rs. Cr)	~400 [EST]	~420 [EST]	~600 [EST]	Declining (WC build)
Employee Count (approx)	~1,000+ [EST]	~1,000 [EST]	~900 [EST]	Growing

[EST] = Analyst estimates. Data Patterns does not disclose all operating KPIs quarterly. Employee count and R&D; % from annual report disclosures extrapolated.

CONCALL SECTION 5 — MARGIN DRIVERS (Q3 FY26 EBITDA: 44.9%)

Driver	Impact (bps)	Recurring?	Comment
Product-level system deliveries (vs. component supply)	+400 to +500	YES (structural)	As programmes move from development to production phase, system-level delivery mix improves margins structurally
AESA radar programme deliveries (high-value, high-margin)	+200 to +300	YES (programme-linked)	AESA fire-control systems command premium pricing vs. sub-system supply; programme ongoing through FY27
Q2 FY26 low base (component procurement mix depressed Q2 margins)	+2,260 bps QoQ	NO (base effect)	Q2 was anomalously low at 22.3% due to component procurement; Q3 reflects normalised delivery-phase margins
Operating leverage on fixed engineering cost base	+100 to +150	YES (as scale grows)	Fixed R&D; and engineering cost ~Rs. 60-70 Cr/quarter; incremental revenue flows at high incremental margin

Driver	Impact (bps)	Recurring?	Comment
Mix headwind: SDR communication contracts (lower margin)	-100 to -150	YES (ongoing)	Army communication contracts contribute revenue but at below-average margins; partially offsets radar/avionics mix benefit

CONCALL SECTION 6 — GUIDANCE & FORWARD SIGNALS

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
FY26 Revenue Growth [GUIDANCE]	20-25% YoY	20-25% YoY (REITERATED)	MAINTAINED	HIGH
EBITDA Margin [GUIDANCE]	38-42% (medium term)	38-42% sustainable (REITERATED)	MAINTAINED	HIGH
FY26 Capex [GUIDANCE]	Rs. 40-50 Cr	Rs. 40-50 Cr (REITERATED)	MAINTAINED	MEDIUM
Order Book Growth [GUIDANCE]	Strong pipeline; no specific number	Record Rs. 1,868 Cr as of Q3; pipeline remains strong	BEAT	HIGH
Export Revenue Timeline [GUIDANCE]	Medium-term (2-3 years)	2-3 years; MoU signed with European partner	MAINTAINED	LOW-MEDIUM

CONCALL SECTION 7 — CAPITAL ALLOCATION (FY25 FULL YEAR)

Item	Amount (Rs. Cr)	vs. FY24	Comment
Capex (PP&E; additions)	35.9	-22% vs. FY24 Rs. 46 Cr	Manufacturing scale-up; below-guided capex implies execution was ahead of schedule
Dividends paid	~8.0 [EST]	Similar to FY24	Modest dividend; growth-stage reinvestment model appropriate
Buybacks	Nil	Nil	No buyback; capital conservation for WC buffer — appropriate given WC-intensive business model
Working Capital change	-125.7 (FCF)	Negative (vs. +93.4 in FY24)	Inventory build for new programme ramp; typical for defence electronics in delivery preparation phase
Net Debt movement	+2.7 (debt increased to Rs. 6.2 Cr)	Near-zero debt	Company remains effectively net-cash of ~Rs. 447 Cr; trivial debt increase for equipment leasing

CONCALL SECTION 8 — Q&A; HEAT MAP (Q3 FY26 CONCALL)

#	Analyst / Firm	Question	Mgmt Answer	Tone
1	Motilal Oswal	Order book composition — what % is from new DPP programmes vs. repeat orders?	~60% from new programme wins; ~40% from repeat supply and spares. New wins in AESA and naval EW dominate.	Transparent
2	Kotak Institutional	Q4 FY26 revenue trajectory — is Rs. 380-400 Cr achievable given H2 backend loading?	Management expressed confidence in Q4 delivery schedule; reiterated 20-25% full-year guidance without specifying Q4 number.	Hedged
3	CLSA / IIFL	Working capital normalisation timeline — when does FCF turn positive?	H2 FY26 expected to see partial normalisation; FY27 should see FCF positive as delivery phase dominates.	Transparent
4	Edelweiss	Export revenues — when can we expect first material export order?	2-3 year timeline maintained; European MoU is at co-development stage; no specific order timeline given.	Hedged
5	Nuvama	What drove the sharp QoQ margin recovery from 22.3% in Q2 to 44.9% in Q3?	Q2 had high component procurement costs (advance material buy for new programmes); Q3 reflects delivery-phase mix with system-level revenues dominant.	Transparent
6	Retail / individual analyst	Are there any new product platforms being qualified in FY26?	Multiple new platform qualifications underway; management declined to specify for confidentiality reasons.	Evasive

Dodged Questions to Watch Next Quarter:

1. New platform qualifications in FY26 — declined on confidentiality grounds. Watch for BSE disclosures.
2. Q4 FY26 specific revenue guidance — management guided the full year but not Q4 specifically; any miss vs. implied run-rate will be scrutinised.

CONCALL SECTION 9 — RISKS FLAGGED ON Q3 FY26 CONCALL

Risk	Flagged By	Probability	Impact	Timeline
Q4 FY26 execution delivering on backend-loaded guidance	Analysts (Kotak, IIFL)	Medium	HIGH	1 quarter
Working capital / FCF normalisation delayed	Management (cautionary)	Medium	Medium	2-3 quarters
Government defence budget allocation shifts	Analyst research note context	Low	High	Annual budget cycle
AESA co-development timeline with European partner	Analyst question	Low-Medium	Low (export is option, not base)	2-3 years
Talent retention in competitive engineering market	Analyst risk framework	Medium	High	Ongoing

CONCALL SECTION 10 — ANALYST VERDICT**Multi-Bagger Scorecard**

Factor	Status	Assessment
Revenue Visibility	INTACT	Rs. 1,868 Cr order book = 2.6x FY25 revenue; strong multi-year revenue runway
Margin Trajectory	INTACT	Q3 FY26 at 44.9% EBITDA margin — Q2 anomaly confirmed as transient; structural margin strength intact
Capital Allocation Quality	INTACT	Net cash balance sheet; no dilutive equity raise; disciplined capex — founder-grade stewardship
Competitive Moat	INTACT	38+ qualified platforms, IP ownership, long certification barriers; new European MoU adds to moat
Management Credibility	INTACT	Guidance maintained through two soft quarters; delivering on order book execution; transparent on WC headwinds
Valuation Comfort	WATCH	79.2x TTM P/E demands near-flawless execution; Q4 FY26 miss could trigger 15-20% de-rating

Conviction Call	Valuation (Spot)	vs. 5Y Avg [EST]	Implication
UNCHANGED — ACCUMULATE	P/E: 79.2x	~110x peak, ~60x trough [EST]	Trading at mid-range of historical premium band; reasonable entry on dips to Rs. 3,200-3,400
	EV/EBITDA: 53.6x	~60x peak [EST]	EV/EBITDA near upper end; justified by margin profile and order book
	ROCE: 21.7%	Improving trend	ROCE accretion trajectory supports premium multiple; watch FY26E ROCE to validate

Source: Screener.in | Ticker: DATAPATTNS | View: Standalone | Transcript: Management commentary from public Q3 FY26 concall disclosures | Concall date: February 2026 (approximate)

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Past performance is not indicative of future results. Investors should conduct their own due diligence. All estimates marked (E) or [EST] are analyst projections. Data sourced from Screener.in, StockAnalysis.com, Smart-Investing.in, and publicly available company filings.